Gmail

Jeff Hall <hallj@bbhcsd.org>

Treasurer Notes - June 14, 2019

3 messages

Jeff Hall <hallj@bbhcsd.org> Fri, Jun 14, 2019 at 4:56 PM
To: Ellen Kramer <kramere@bbhcsd.org>, Fred Pedersen <pedersenf@bbhcsd.org>, Kathleen Mack <mackk@bbhcsd.org>, Mark Dosen <dosenm@bbhcsd.org>, Mike Ziegler <zieglerm@bbhcsd.org>, Mark Dosen <mark@dosen1.com>, Joelle Magyar <magyarj@bbhcsd.org>

Hello All,

For the past few months, we've been discussing the purchase of ***seven*** new school buses to the fleet. As you know, we normally purchase two annually with "permanent improvement" funds. However, this coming school year (FY20), we plan to purchase five additional buses and utilize "general fund" (cash) resources to purchase. The purchase of all buses was approved at the April 24, 2019, regular meeting.

In the May 22, 2019, forecast presented, I included a 5-year "lease purchase" arrangement proposed by Huntington Bank to purchase the five. The proposed annual expense to BBHCSD is $100,000 (actual is $98,465.32) per year over five years. The interest rate is 3.30%, which equates to a total cost of $30,446.60. (see attached overview from Huntington). The is NO prepayment penalty.

You may recall following Chris Coad's presentation, I mentioned I would work with Chris and offer a plan for the board to consider a lease option (with NO prepayment penalty) OR lump sum cash payment. June has always been the month that I planned to present the proposal for your consideration, so we're right on schedule with plenty of time to deliver payment (either borrowed or cash) the first week in August when the buses are delivered.

The primary reason to consider a lease arrangement was to conserve cash. I realize we've got healthy cash balances, at the moment, but I didn't want to assume you were fine with a significant cash outlay, especially after I presented lease option in May FCST. Just want us to have options and would rather it be your option to consider.

In addition to the amortization schedule, I have attached two FCST scenarios showing cash balance effect. Scenario 1 is the current FCST with lease option. Scenario 2 basically adds $362,000 in FY20 cash outlay and decrease in year-end FY20 cash balances.

I hope this is helpful information and look forward to your guidance on how you would like to proceed. Thank you, everyone.

Jeff M. Hall
Treasurer/CFO
Brecksville Broadview Heights City Schools
6638 Mill Road
Brecksville, OH 44141
hallj@bbhcsd.org
440-740-4020 (o)

Gmail by Google

Jeff Hall <hallj@bbhcsd.org>

Bus Lease

Jill Murphy <Jill.Murphy@huntington.com>
To: Jeff Hall <hallj@bbhcsd.org>

Wed, May 15, 2019 at 10:08 AM

Hi Jeff,

The rate that gives you the ability to prepay at any time would be around **3.30%**. Again, please note that this is the rate as of today. We wouldn't be able to set the final rate until 30 days prior to funding. The way things are looking, it will probably benefit you (just listened to another fed call). Obviously, none of us know for sure, but that seems to be where the market is heading.

Estimated Debt Schedule below:

	Date	Payment	Interest	Principal	Balance
Loan	8/12/2019				$461,860.00
1	8/12/2019	$ 98,465.32	$ -	$ 98,465.32	$363,394.68
2	8/12/2020	$ 98,465.32	$11,992.02	$ 86,473.30	$276,921.38
3	8/12/2021	$ 98,465.32	$ 9,138.41	$ 89,326.91	$187,594.47
4	8/12/2022	$ 98,465.32	$ 6,190.62	$ 92,274.70	$ 95,319.77
5	8/12/2023	$ 98,465.32	$ 3,145.55	$ 95,319.77	$ -
Grand Totals		**$492,326.60**	**$30,466.60**	**$461,860.00**	

Attached are draft documents. Let me know what the district decides or if you need anything further.

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Sample Documents 05.15.19.pdf
207K

BRECKSVILLE-BROADVIEW HTS.
CITY SCHOOL DISTRICT
"where fine education is a heritage"

Chris Coad, Director of Business Services *440-740-4015*

April 25, 2019

Nick Bryan
6280 Harding Highway
Lima, Ohio 45801

Re: Letter of Intent #1

Dear Mr. Bryan,

Please consider this letter of intent as formal notification of the Brecksville-Broadview Heights City School District's authorization to have Cardinal Bus Sales manufacture and deliver one (1) 84 passenger school bus chassis and body and four (4) 71/72 passenger school buses chassis and body as specified by school district Bus Mechanic foreman, Jim Flauto. The specification for this purchase are included with the email correspondence.

A signed purchase order will be issued July 1, 2019, totaling $461,860.00, for this purchase. We also request that Cardinal Bus Sales update the lease option related to this purchase.

As indicated by Cardinal Bus Sales it is the expectation of the school district that all 5 buses purchased under this agreement are delivered to the school district on or before August 12, 2019.

If you have any questions regarding this matter don't hesitate to contact me.

Thank you.

Chris Coad
Director of Business Services

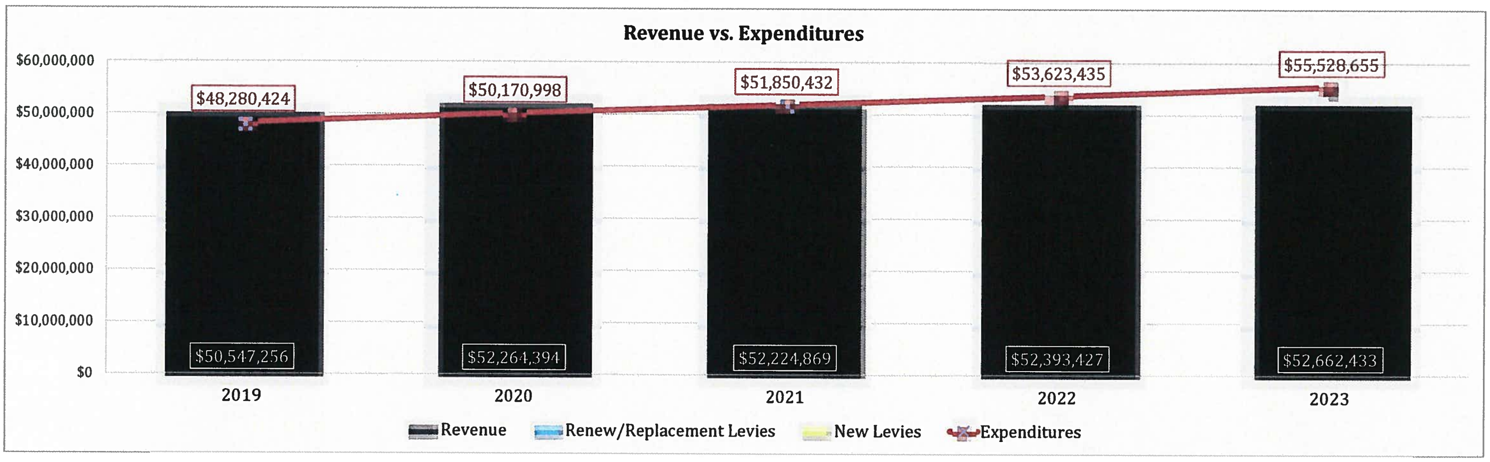
cc Jeff Hall
Heidi Means
Jim Flauto
Mary LaRosa

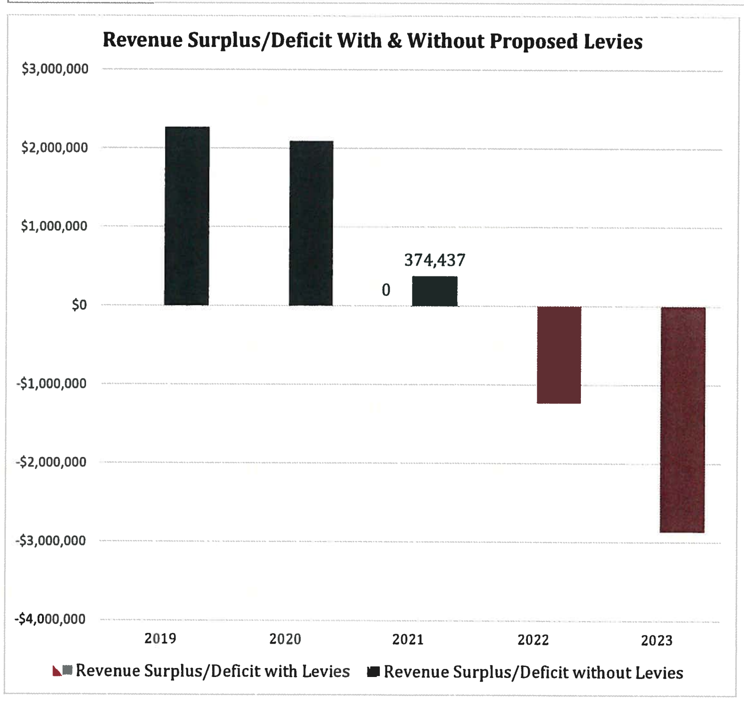
* May, 2019

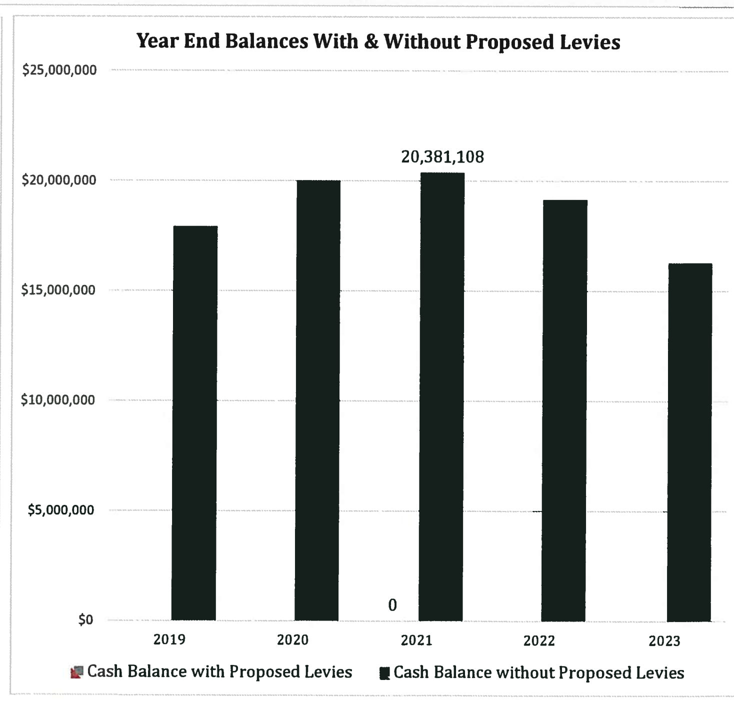
CURRENT FORECAST → w/ BUS LEASE PURCHASE (1)

Income and Expense Simplified Statement - Projected Fiscal Years **BRECKSVILLE-BROADVIEW HEIGHTS CITY SCHOOL DISTRICT - - CUYAHOGA COUNTY**

	Fiscal Year 2019	Fiscal Year 2020	Fiscal Year 2021	Fiscal Year 2022	Fiscal Year 2023
Beginning Balance	15,646,443	17,913,275	20,006,671	20,381,108	19,151,100
+ Revenue	50,547,256	52,264,394	52,224,869	52,393,427	52,662,433
+ Proposed Renew/Replacement Levies	-	-	-	-	-
+ Proposed New Levies	-	-	-	-	-
- Expenditures	(48,280,424)	(50,170,998)	(51,850,432)	(53,623,435)	(55,528,655)
= Revenue Surplus or Deficit	2,266,832	2,093,396	374,437	(1,230,008)	(2,866,222)
Ending Balance	17,913,275	20,006,671	20,381,108	19,151,100	16,284,878
Revenue Surplus or Deficit w/o Levies	2,266,832	2,093,396	374,437	(1,230,008)	(2,866,222)
Ending Balance w/o Levies	17,913,275	20,006,671	20,381,108	19,151,100	16,284,878







**District does not currently have any renewal, replacement or new levies proposed*

$100,000 x 5YRS @ 3.30%

* FORECAST → WITH CASH PURCHASE OF 5 BUSES

Income and Expense Simplified Statement - Projected Fiscal Years

BRECKSVILLE-BROADVIEW HEIGHTS CITY SCHOOL DISTRICT - - CUYAHOGA COUNTY

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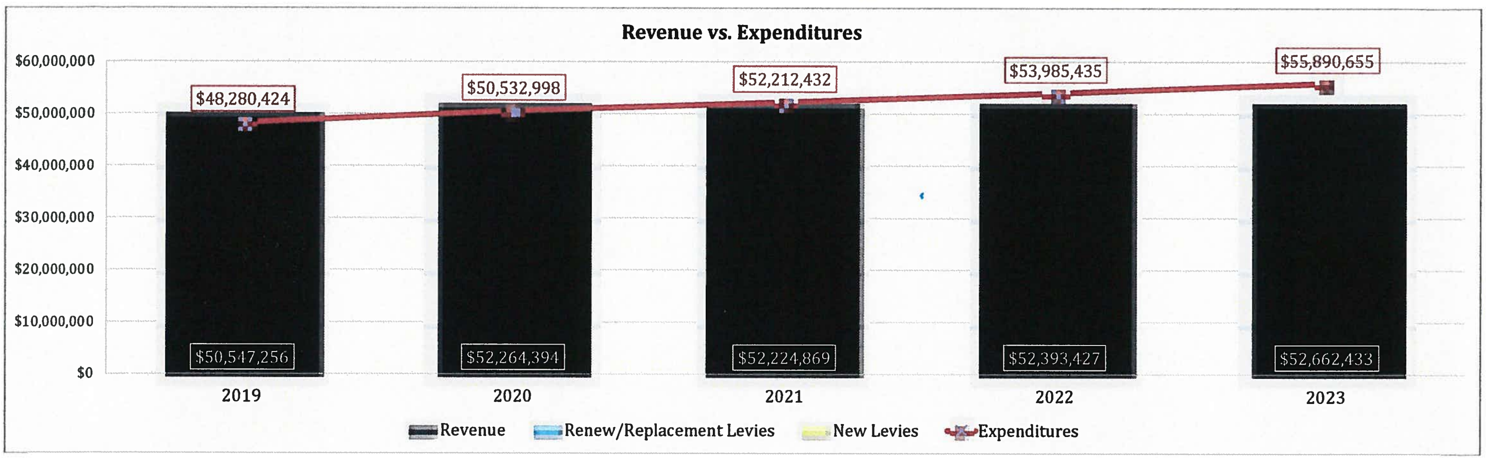
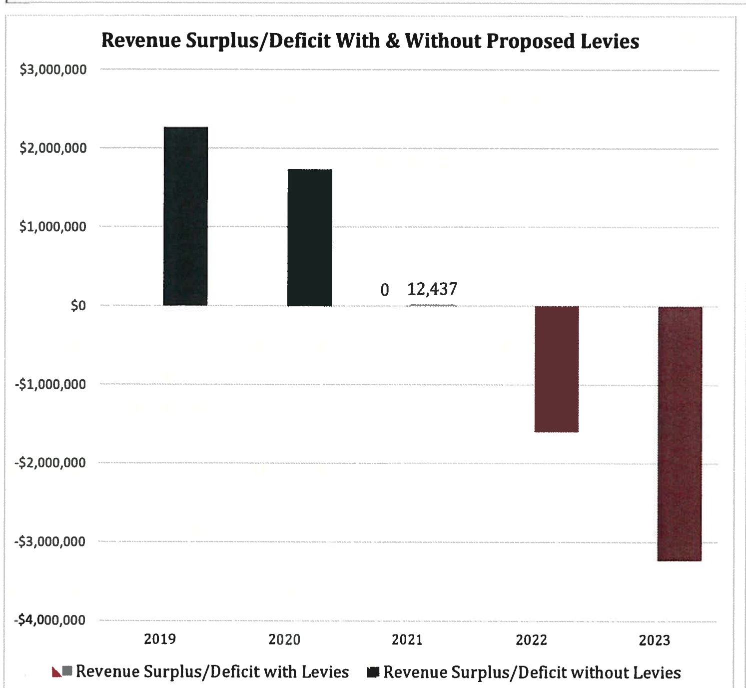
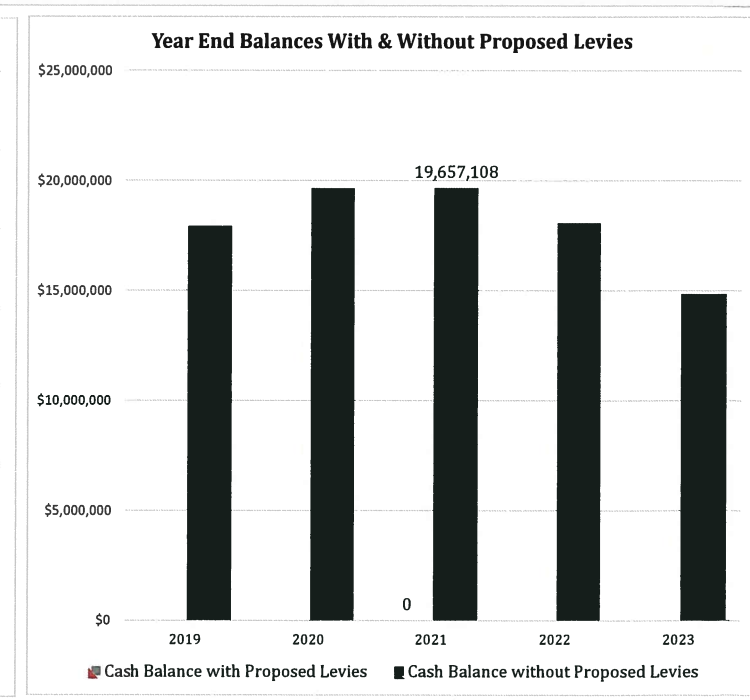
	Fiscal Year 2019	Fiscal Year 2020	Fiscal Year 2021	Fiscal Year 2022	Fiscal Year 2023
Beginning Balance	15,646,443	17,913,275	19,644,671	19,657,108	18,065,100
+ Revenue	50,547,256	52,264,394	52,224,869	52,393,427	52,662,433
+ Proposed Renew/Replacement Levies	-	-	-	-	-
+ Proposed New Levies	-	-	-	-	-
- Expenditures	(48,280,424)	(50,532,998)	(52,212,432)	(53,985,435)	(55,890,655)
= Revenue Surplus or Deficit	2,266,832	1,731,396	12,437	(1,592,008)	(3,228,222)
Ending Balance	17,913,275	19,644,671	19,657,108	18,065,100	14,836,878
Revenue Surplus or Deficit w/o Levies	2,266,832	1,731,396	12,437	(1,592,008)	(3,228,222)
Ending Balance w/o Levies	17,913,275	19,644,671	19,657,108	18,065,100	14,836,878







**District does not currently have any renewal, replacement or new levies proposed*

$462,000 LUMP SUM CASH PURCHASE – FY20